

SECRETARIAL PRACTICE

Time: 3 Hours

Max. Marks: 80

Note:

- (1) All questions are compulsory.
- (2) Figures to the right indicate full marks for the questions.
- (3) Figures to the left indicate question numbers.
- (4) Answer to every question must be started on a new page.

Q.1. (A) Select the proper option from the options given below and rewrite the sentences: (5)[15]

- (1) The _____ capital remains in business almost permanently.
(a) fixed (b) working (c) borrowed
- (2) A company must issue _____ shares.
(a) preference (b) bonus (c) equity
- (3) If a share of ₹ 100 is issued at ₹ 110, it is said to be issued at _____.
(a) par (b) profit (c) premium
- (4) The dividend is calculated and paid on _____ capital.
(a) authorised (b) subscribed (c) paid-up
- (5) An institution which regulates and controls the activities of the stock exchange is called _____.
(a) NSE (b) BSE (c) SEBI

(B) Match the correct pairs of words from group 'A' and group 'B' : (5)

	Group 'A'		Group 'B'
a.	Retained profits	1.	Share warrant holder
b.	Small depositors	2.	Borrowed capital
c.	Dividend coupon	3.	Deposits less than ₹ 25,000
d.	Returns on shares	4.	Interest
e.	Bear	5.	Expects rise in price of security
		6.	Ploughing back of profit
		7.	Expects fall in price of security
		8.	Deposits less than ₹ 20,000
		9.	Share certificate holder
		10.	Dividend

(C) Write a word / term / phrase which can substitute each of the following statements: (5)

- (1) The basic principle of business activities that aims at profit.
- (2) The 'Depository Receipt' traded in the country, other than U.S.A.
- (3) The authority who can issue debentures.
- (4) The organisation which acts as an intermediary between investors and depositories.
- (5) Instrument of payment of interest.

Q.2.	Distinguish between the following: (Any three)	[15]
	(1) Equity shares and Preference shares (2) Share certificate and Share warrant (3) Interim dividend and Final dividend (4) Primary market and Secondary market (5) Jobber and Stock broker	
Q.3.	Write notes on the following: (Any three)	[15]
	(1) Importance of financial planning (2) Types of Bonds (3) Procedure of transfer of shares (4) Statutory conditions of valid allotment of shares (5) Need and importance of depository system	
Q.4.	State with reasons, whether the following statements are True or False: (Any three)	[15]
	(1) Financial management is essential for all types of business organisations. (2) The bond holders are the owners of the company. (3) A private company cannot accept deposits from public. (4) Handling demat shares is very time consuming. (5) Transfer of shares is initiated by the company.	
Q.5.	Attempt the following: (Any two)	[10]
	(1) State the procedure of payment of dividend. (2) Draft a letter to a debenture holder informing him about redemption of debentures. (3) Draft a letter of thanks to a depositor of a company. (4) State the points to be borne in mind while writing letters to depositors.	
Q.6.	Draft a notice of dividend	[10]
	OR	
	Define 'debenture'. Explain various types of debentures.	